1.5. Role of External Events

Although time is one of the factors affecting stock prices, external events also play a part. Similarly, external factors can change the value of options by affecting the price of the underlying asset. The premium on the options may also change.

Image Source: https://www.tradingview.com/

Suppose you bought a pen for ₹100. Shortly after, there came an announcement that similar pens are mandatory for an exam conducted by the Securities and Exchange Board of India (SEBI). Then, the price of the pen is likely to rise. It opens up potential profits for you. As the exam approaches, your pen's price will increase if there is no further production of similar pens.

If you had expected this scenario, you could have made even greater profits from your ₹100 by using call options.